CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 27, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Moderate Growth, Anchored Inflation, Resilient Risk Appetite:* Markets have so far treated the Iran war as a temporary oil-supply disturbance. Combined with moderate U.S. growth and tempered inflation expectations, this view limited the increase in bond yields and bond yield volatility despite surging oil prices—a positive for risk-asset performance. The gold-to-copper ratio has reversed its spike spurred by the April 2025 tariff shock and extended through the March 2026 start of the Iran war, consistent with easing growth concerns and a risk-on market tilt. Rising copper prices have confirmed growth support from Artifical Intelligence (AI)-investment and broader electrification efforts, while also reflecting supply factors (high fuel costs; war-related shortages of sulfuric acid used in copper production; mining setbacks; tariffs, and rising China refined-copper imports due to smelter maintenance and other pressures not purely end-demand driven). Overall, the data suggests the economy likely retains a sufficient cushion to absorb the current oil price shock, allowing the expansion to continue at a moderate pace. However, escalating geopolitical conflicts increase growth and inflation risks.

Market View—*International Equity Markets:* Strengths, Weaknesses, Opportunities and Challenges: Recent weakness in the Technology sector has highlighted a major dividing line across international equity markets, underscoring the importance of the group to relative returns internationally. A key question for investors will therefore be whether the advance in technology-linked markets can continue, particularly within upstream segments related to AI data center investment. Meanwhile, the return of energy supply constraints in the Middle East poses a growing risk to European and Asian markets. Though both were able to withstand the disruptions to production, shipping and prices during the first phase of the Iran conflict, the July re-escalation could potentially be more challenging should it persist over the weeks and months ahead.

Thought of the Week—*Behind the Surge in Business Formation: The "Solopreneur":* U.S. business applications are running north of 6 million over the 12 months through June 2026. In other words, entrepreneurial activity is booming in the U.S. Yet an underappreciated driver of the surge has been the rise of the "solopreneur"—or solo founders running businesses without employees. Since the start of 2025, solopreneur applications have risen by 23%, while "high-propensity" applications (businesses likely to hire) are essentially flat.

What's driving entrepreneurs to go solo? Enter generative AI, which has lowered barriers to entry and enabled businesses to innovate, produce and expand without hiring. For investors, this is a direct reflection of the U.S. economy's entrepreneurial DNA and a key reason to keep the U.S. at the center of portfolios. Think more competition, greater innovation and, over time, higher productivity—a potent recipe for corporate earnings and U.S. growth. As AI adoption grows and as the cost of technology declines, we expect new small businesses, the backbone of the U.S. economy, to be among the biggest recipients of productivity gains.

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Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs, and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction, and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals, and defense equipment are expected to support productivity, profit margins, asset-price growth, and attractive potential opportunities across global equity markets, despite periodic "Bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials and Consumer Discretionary—while maintaining balanced exposure between Growth and Value, and views higher Fixed Income yields as attractive for income, diversification and risk compensation.

MACRO STRATEGY

Moderate Growth, Anchored Inflation, Resilient Risk Appetite

Chief Investment Office, *Macro Strategy Team*

Incoming data suggest U.S. growth remains moderate and close to potential rather than overheating. Activity is being pulled in both directions: wealth effects, inflation-indexed government transfers, government spending, tax incentives and the AI investment boom continue to support it—while higher oil prices and tariffs, slower wage growth, cautious bank lending, elevated consumer borrowing costs and soft hiring restrain it.

Investment Implications

With moderate U.S. growth and inflation underpinnings, we expect investors to continue to favor economically sensitive sectors and AI-investment beneficiaries, assuming stabilization of geopolitical situation.

The Federal Reserve's (Fed) Beige Book prepared for the July 28–29 rate-setting meeting, supports this view. Over the mid-May to early July reference period, 11 of 12 Fed districts reported expansion, the broadest improvement since early 2025. Yet, the expansion was characterized as slight to moderate, with moderate price increases, wage growth modest to moderate, and employment rising on balance but showing little to no change in seven of 12 districts. Recent ADP data also show that four-week average employment gains have started to fade through the July 4 week after picking up earlier this year.

With slower and narrower job creation (private-sector employment outside healthcare and education is still lower than two years ago), labor-market slack has grown. The average duration of unemployment has increased, job openings have declined and the pool of people outside the labor force who nevertheless want a job has expanded. The lack of labor-market dynamism—partly due to a widening mismatch between jobs and skills as the economy changes and technology advances—has also restrained wage growth, constraining consumer spending.

Indeed, although June retail sales surprised to the upside, the underlying signal was less upbeat than the headline suggested. According to BofA Global Research, non-store retailers accounted for much of the strength, helped by special promotions that could partly reverse in July. Spending in most other categories remained tepid, with limited evidence of a meaningful net boost from the World Cup. While upward revisions to prior months, especially to food services, lifted expectations for Q2 real consumer spending after a very weak Q1 gain, real gross domestic product (GDP) still tracks around 1.75% to 2% for Q2, according to various estimates, consistent with moderate, non-inflationary growth outside energy-price effects. In fact, renewed fuel-price pressures, alongside fading support from early-year tax refunds, point to persistent growth headwinds in the second half.

Manufacturing tells a similarly mixed story. After two strong monthly gains earlier in the year, output increased modestly in May and contracted in June (Exhibit 1A). The AI investment boom is leaking into large imports of semiconductors and related equipment, limiting its domestic growth and employment impact relative to headline investment outlays. Also, a strong dollar restrains exports. On the other hand, lean inventories across several industries point to a likely restocking cycle in coming quarters. In addition, defense spending and rebounding aerospace production, alongside favorable regional Fed July surveys point to continued manufacturing-sector expansion. This is consistent with further improvement in the Institute for Supply Management manufacturing index—typically a constructive signal for corporate earnings and investor risk appetite.

Against a backdrop of moderate growth, sharply lower June oil prices and fading tariff effects, inflation delivered an encouraging downside surprise for a change. Not only did June headline consumer price index (CPI) inflation decline sharply alongside lower oil prices, but "core" CPI (excluding food and energy) also posted a small but rare monthly decline, nudging the year-over-year (YoY) rate down to 2.6% from 2.8% in May. The improvement was broad based: prices of goods excluding food and energy declined, prices for services excluding energy and rent of shelter declined, and a larger share of CPI components (about a third) declined. With housing still likely to contribute to future disinflation—as new-lease measures remain soft and multifamily supply continues to expand—and little evidence that tariffs or energy prices are feeding a broader wage-price spiral so far, gradual inflation normalization without much Fed tightening is likely, in our view.

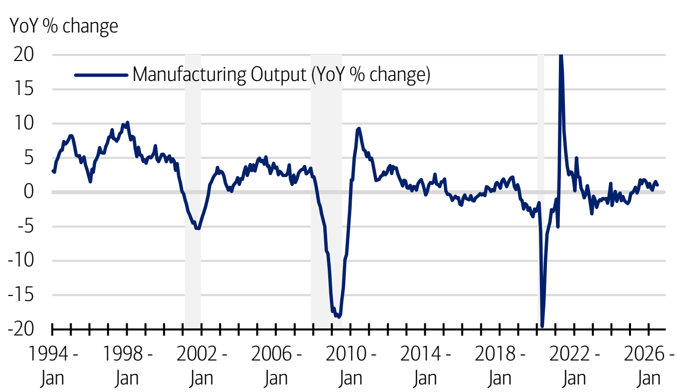
The main risk to the outlook remains energy. Although the global economy has adapted better than expected to Strait of Hormuz disruptions, as discussed in recent reports, renewed and expanded trade barriers raise risks to both growth and inflation. Ukrainian attacks on Russian refining and export infrastructure have further tightened the global refined-products market, with at least 24 of Russia's 34 large refineries reportedly struck by drones and bringing Russian crude processing down to its lowest level in more than two decades. Given its large export footprint, especially for diesel, Russian diesel and jet fuel export restrictions combined with gasoline imports have tightened refined-product markets. India's recent introduction of higher fuel export taxes and China's preference for preserving crude inventories while retaining large underutilized refining capacity reduce the likelihood of near-term supply relief. In fact, the threatened blockade of the Bab-el-Mandeb strait would extend the transit time for roughly three million barrels per day of Saudi oil going to Asia by about a month, with additional logistical complexity tied to Suez Canal tanker capacity constraints also increasing costs and transit time.

According to the EIA, with U.S. refiners running at full capacity, commercial crude inventories remain above pre-2015 levels. However, refiners have prioritized jet fuel and distillate production to meet strong global demand, causing gasoline inventories to fall below their five-year range. Reflecting tight supply, U.S. gasoline and diesel prices have risen to levels consistent with roughly $140 and $170 per barrel crude oil, respectively. Moreover, fuel markets remain vulnerable to potential unexpected refinery maintenance requirements. The Strategic Petroleum Reserve (SPR) has declined to 40-year lows and is approaching operational limits.

Still, because of a big decline in the U.S. economy's energy intensity, diesel and gasoline costs as a share of GDP remain below past oil-shock levels (around 2.2% vs. roughly 4.5% in 1973, for example). Also, the U.S. is now an oil exporter rather than a large oil importer. This suggests that oil prices are not high enough to cause a U.S. or global recession. According to Dallas Fed Research, June 23, 2026, the estimated effect on U.S. GDP growth in 1980 from a similar oil shock as that caused by the Hormuz crisis this year would have had a 20 times larger impact (Exhibit 1B). Global fuel intensity has also declined significantly, but the U.S. resilience is still greater. At current prices, there are still sufficient growth tailwinds to keep the expansion going at a moderate pace. Also positive, tempered growth and still anchored inflation expectations have helped keep the 10-year Treasury yield in its relatively narrow range of the past two years despite spiking oil prices, with markets relatively comfortable with the gradual uptick in yields to date. The bigger risk to asset prices would be a disorderly rise in real yields and bond-market volatility, including if driven by Fed interest rate hikes without stronger growth.

Exhibit 1: Inflation Divergence Likely to Resolve to the Downside.

A) Industrial Production still moderate compared to past economic booms.



B) Tremendously greater resilience to oil shock today compared to the past.

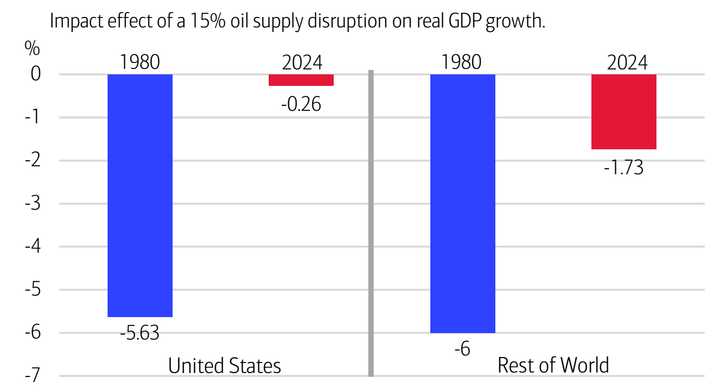


Exhibit 1A) Sources: Federal Reserve Board/Haver Analytics. Data as of July 23, 2026. Exhibit 1B) The oil supply disruption originates in the rest of the world. All values are based on a one-quarter oil supply disruption. The growth rates are annualized percentage point deviations from the pre-shock baseline. Source: Federal Reserve Bank of Dallas. Data as of June 23, 2026.

MARKET VIEW

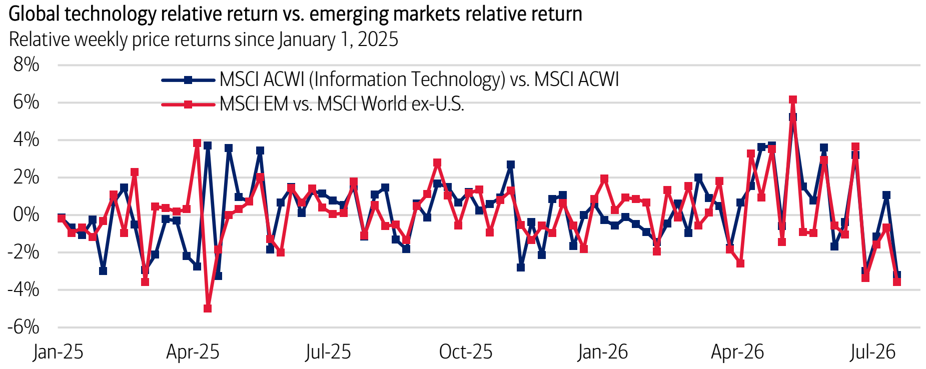
International Equity Markets—Strengths, Weaknesses, Opportunities and Challenges

Ehiwario Efeyini, *Director and Senior Investment Strategist*

The drawdown in the global Technology sector between early-June and mid-July has highlighted a major dividing line across international equity markets. Europe has been the global leader over the period, emerging Asian markets have been by far the weakest, and the U.S. and Japan have fallen in between the two. This has been a mirror image of the full year 2026 so far, in which technology leadership has driven outperformance in emerging markets and seen Europe lag. And it underscores the current importance of the Technology sector to relative international returns, given the wide disparities now present in regional capitalization weightings. Technology exposure (including the internet platforms listed in Communication Services and Consumer Discretionary) now accounts for 50% of the MSCI Emerging Market (EM) Index benchmark (and 60% of emerging Asia), with the semiconductor industry group alone forming 35% of EM Equities (and 42% of emerging Asia).

By contrast, Europe's Technology sector exposure stands at just 10%. Indeed, since the start of 2025, the MSCI EM Index has outpaced the overall developed ex-U.S. benchmark (MSCI World ex-U.S.) in 70% of the weekly periods in which the global Technology sector has risen by more than global Equities (MSCI All-Country World) in aggregate (Exhibit 2).

Exhibit 2: Emerging Markets have Led Global Equities During Recent Periods of Strength in the Technology Sector.



Sources: MSCI; Bloomberg. Data as of July 17, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

A key question for international markets in the second half of the year will therefore be whether the advance in technology-linked markets can continue, particularly within upstream segments related to AI data center investment. And important to watch here will be the capital spending plans of the cloud hyperscalers, pricing power in critical parts of the supply chain such as memory, foundry and semicap equipment, and, ultimately, user demand for models and developer applications. Wider AI adoption and more application use cases would likely allow market participation to extend further downstream within the sector, including in China, whose capitalization share of the MSCI EM index has halved over the past five years, but at close to 20% remains the third-largest after Taiwan and Korea. And notwithstanding the potential for further bouts of volatility of the type experienced over recent weeks, broader gains for the tech sector should continue to favor EMs and Asia over Europe.

The return of energy supply constraints in the Middle East nonetheless poses a growing risk to both European and Asian markets. Both are heavily reliant on imported oil and gas in their primary energy consumption, with Asia more directly dependent on shipments from the Middle East. And though both markets were able to withstand the disruptions to production, shipping and prices during the first phase of the Iran conflict, the July re-escalation could potentially be more challenging should it persist over the weeks and months ahead.

Investment Implications

We maintain a favorable view on EMs relative to Europe, but continue to weigh the potential impact of changes to the macro environment related to the pivotal themes of technology and energy. We also stay cautious on the UK market, particularly in light of this month's change in central government leadership. And we remain constructive on Japan, despite the market facing similar risks to much of emerging Asia from any further tightening in global energy supply..

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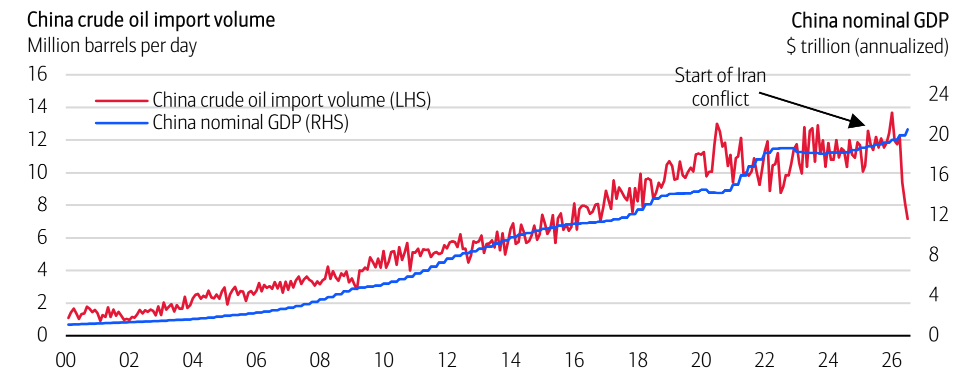
The MSCI Europe and MSCI emerging Asia benchmarks corrected by 10% to 15% in March following the initial outbreak of the conflict but rebounded in Q2 even in the face of higher energy prices as activity in the sector adjusted. Individual countries were able to draw upon their national oil inventories. China in particular (by far the largest global energy importer) reduced its oil imports by around 40%, taking them back to 2016 levels when its economy was roughly half its current size (Exhibit 3). And oil and gas export volumes were redirected to Saudi Arabia's Red Sea coast.

Exhibit 3: China's Oil Import Volumes have Fallen Sharply Since the Start of the Iran Conflict.



Sources: Bloomberg; Chief Investment Office. Data as of June 2026. Import volume converted from tons to barrels at ratio of 7.33:1

But these three sources of relief are unlikely to offer the same cushion for markets in the current phase of the conflict. Global observed oil inventories have now been drawn down by more than 300 million barrels over the period between March and June, according to the International Energy Agency. Depending on its willingness to further deplete its domestic stockpiles, China's oil import demand could begin to increase again from depressed levels. And risks to energy exports through the Red Sea could force a diversion of the estimated 5.4 million barrels per day of oil and 2.9 billion cubic feet per day of liquefied natural gas that were transported through the waterway in Q1 of 2026, according to the U.S. Energy Information Administration. It also remains to be seen how global monetary authorities will react to higher headline inflation driven by the recent energy price surge. Higher interest rates could present an additional hurdle for international equity markets if central banks are forced to tighten policy. We maintain a favorable view on EMs relative to Europe, but continue to weigh the potential impact of changes to the macro environment related to these two pivotal themes of technology and energy.

Our view on the smaller regional developed markets also remains intact and has been reinforced by recent local developments. As in continental Europe, we stay cautious on the U.K. market, particularly in light of this month's change in central government leadership. Even though the ruling party remains in place and its platform is officially unchanged, the new prime minister is expected to pursue a more redistributionist policy agenda and has suggested introducing more flexibility into national budget rules with the potential for future increases in tax rates. The fiscal outlook will therefore be important to watch over the coming months for any potential deterioration in investor perceptions around the local market. And, at the same time, we remain constructive on Japan. Given its dependence on imported oil from the Middle East, the Japan market faces similar risks to much of emerging Asia from any further tightening in global energy supply from the region. And to a lesser extent, it should also remain sensitive to volatility in the Technology sector, given its hardware exposure to industry groups such as semicap equipment and electronic components. We nonetheless still see structural supports from shareholder-friendly deployment of corporate cash for buybacks, payouts and acquisitions, in addition to fiscal expansion coming from the new administration, and both competitive support and a translation boost on overseas profits from yen weakness.

Behind the Surge in U.S. Business Formation: The “Solopreneur”

***Ariana Chiu**, Assistant Vice President and Investment Strategist*

Business formation is at all-time highs in the U.S., with applications over the 12 months through June 2026 running north of 6 million.[1] In other words, entrepreneurial activity is booming in the U.S. But an underappreciated feature of the recent surge in business applications has been the rise of the “solopreneur”—or solo founders who run businesses on their own without employees.

As Exhibit 4A highlights, the increase in business applications since the start of 2025 has been primarily driven by solopreneurs. Whereas their applications have risen by 23% in just the last year and a half, applications among “high-propensity” businesses (i.e., businesses likely to hire workers) are essentially flat over the same period. Translated: Solo founders have fueled most of the recent acceleration in business creation. Data from Stripe, a financial services platform, confirms in Exhibit 4B: The wave of new startups, particularly in Q1 of this year, has largely been the work of solo founders.

What’s driving entrepreneurs to go solo? Enter generative artificial intelligence (AI), which has lowered barriers to entry and enabled businesses to innovate, produce, market and expand, all without necessarily hiring additional employees. Indeed, the sectors that have seen the largest growth in business applications such as Information and Professional Services are also the sectors with the highest AI adoption rates of 44% and 38% respectively.[1] All the while, job growth in these sectors has been limited or negative. Employment in the Information sector, for example, is currently below pre-pandemic levels—despite the sector’s gross domestic product expanding by over 50% since the start of the decade.

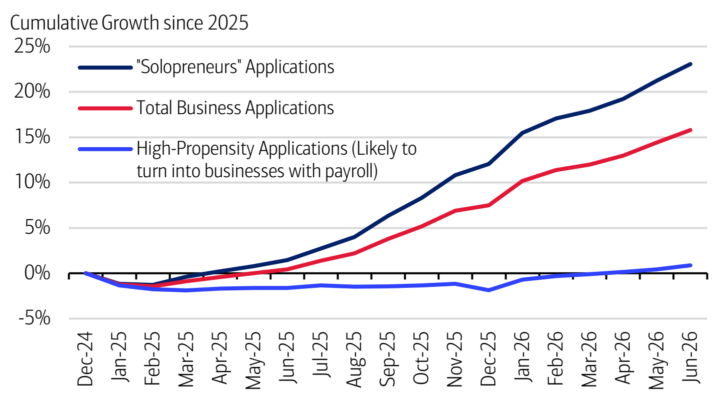
For investors, the rise of the solopreneur and the attendant increase in business formation is a direct reflection of the U.S. economy’s entrepreneurial DNA. We believe that's a key reason to maintain the U.S. at the center of portfolios because it means more competition, greater innovation and, over time, higher productivity—all of which are good news for corporate earnings and U.S. growth. Already, AI has helped lift company margins with earnings as a share of GDP at a record 14% as of Q1 2026.[2] As AI adoption grows and as the cost of technology declines, we expect new small businesses, the backbone of the U.S. economy, to be among the biggest recipients of productivity gains.

Investment Implications

Recent trends in business applications reinforce our conviction in America’s risk-taking entrepreneurial culture. AI adoption should continue to help profits expand more broadly across sectors. Stay overweight the U.S. in portfolios.

Exhibit 4: The Rise of the Solopreneur.

A) Breaking down higher business applications.



B) Startups go solo.

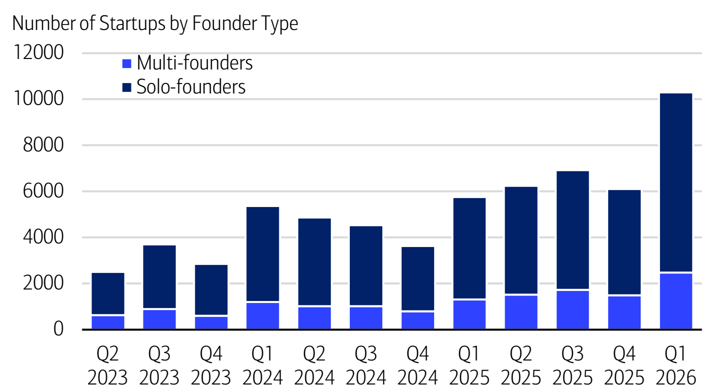


Exhibit 4A) "Solopreneurs" refers to non-high-propensity applications. Source: Census Bureau. Data as of July 9, 2026. Exhibit 4B) Source: Stripe. Data through Q1 2026, as of July 2026.

[1] Census Bureau. Data as of July 2026.

[2] Bureau of Economic Analysis. Data as of July 2026.

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	51,947.25	-0.4	-0.6	9.0
NASDAQ	24,975.82	-2.1	-4.7	7.8
S&P 500	7,411.98	-0.6	-1.1	9.0
S&P 400 Mid Cap	3,783.86	0.2	-1.7	15.3
Russell 2000	2,930.00	-1.1	-3.1	18.8
MSCI World	4,788.90	-0.4	-0.7	8.9
MSCI EAFE	3,113.50	0.4	-0.1	9.4
MSCI Emerging Markets	1,628.03	0.5	-5.3	17.3

Fixed Income†

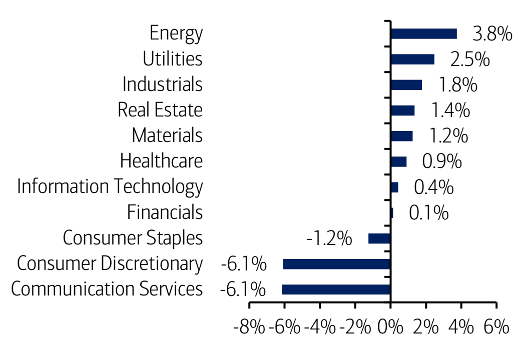
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.88	-0.73	-1.20	-0.72
Agencies	4.63	-0.39	-0.45	0.16
Municipals	3.94	-1.19	-1.98	0.30
U.S. Investment-Grade Credit	4.97	-0.74	-1.18	-0.57
International	5.47	-0.92	-1.61	-0.77
High Yield	7.46	-0.57	-0.43	1.52
90 Day Yield	3.90	3.79	3.81	3.63
2 Year Yield	4.33	4.18	4.17	3.47
10 Year Yield	4.68	4.55	4.47	4.17
30 Year Yield	5.16	5.07	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	346.90	2.8	9.8	25.6
WTI Crude $/Barrel††	89.31	8.3	28.5	55.5
Gold Spot $/Ounce††	4052.79	0.9	1.1	-6.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	163.83	162.40	162.55	156.71
USD/CNH	6.77	6.78	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/20/2026 to 07/24/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/24/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/24/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5*	2.5	2.4	2.3	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.1	3.3	2.1
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 24, 2026.
Sources: BofA Global Research; GWIM ISC as of July 24, 2026.

Asset Class Weightings (as of 7/7/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of July 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI All-Country World Index is a premier benchmark representing global equity performance, covering large and mid-cap stocks across 23 developed and 24 emerging markets.

Institute for Supply Management Manufacturing Index is a composite measure equally weighing new orders, production, employment, supplier deliveries, and inventories.

MSCI Emerging Market Index is a stock market index designed to measure the equity market performance of developing economies globally.

MSCI World ex US Index captures large and mid cap representation across 22 of 23 Developed Markets (DM) countries--excluding the United States.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 20, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Warsh Quashes the Debasement Trade:* The debasement trade was a popular narrative in 2025 that described an investment strategy where investors flee fiat currencies and bonds to move into "hard" assets like precious metals and bitcoin. During the search for a new Federal Reserve (Fed) chairman, the debasement narrative was pushed by the financial media, and the independence of the Fed was being called into question given certain candidates. Instead, the appointment of Kevin Warsh has had the opposite effect. For example, precious metals prices have fallen from their debasement peaks as has bitcoin, while the U.S. dollar's foreign exchange value remains strong. Concerns of excessive money printing to fund mounting government debt have been assuaged by the new chairman's focus on fixing the Fed's operations, including those that have caused five straight years of inflation overshoot and the affordability crisis. The confidence that has emerged about Mr. Warsh's commitment to restoring price stability has been reinforced by his choices to lead the five task forces advancing monetary policy. The people chosen to lead the task force on "inflation frameworks" are going to "revisit how the Fed understands and responds to the drivers of inflation."

Market View—*The Rotation Test:* Signs of broader market leadership have emerged across U.S. Equities in recent weeks. Since the start of June, the equal-weighted S&P 500 Index has outperformed its market-cap weighted counterpart, with leadership expanding beyond Technology. The key question now is not whether market breadth has improved, but whether it can finally be sustained. Investors have seen similar rotation attempts throughout this cycle, only to watch leadership narrow once again as inflation concerns and rate volatility returned to the forefront. That makes the current rotation an important test for the market. Is the market finally beginning to trade on earnings and economic growth, or will inflation and Fed policy expectations continue to dominate market dynamics? Broadening earnings growth and a resilient economic backdrop suggest the current rotation has a stronger fundamental foundation, though its durability remains closely tied to the inflation outlook.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is our view regarding the prospects for the return on the massive Artificial Intelligence (AI) capital investment? Is all of this worth it?

AUTHORS

Chief Investment Office
CIO Macro Strategy Team

Kirsten Cabacungan
Vice President and Senior Investment Strategist

Christopher Hyzy
Chief Investment Officer

Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs, and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction, and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals, and defense equipment are expected to support productivity, profit margins, asset-price growth, and attractive potential opportunities across global equity markets, despite periodic "Bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials, and Consumer Discretionary—while maintaining balanced exposure between Growth and Value, and views higher Fixed Income yields as attractive for income, diversification, and risk compensation.

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Warsh Quashes the Debasement Trade

Chief Investment Office, *Macro Strategy Team*

Money Matters in the Warsh Framework. The three leaders of the "Inflation Frameworks" task force are Greg Mankiw, professor of economics at Harvard University and former chairman, Council of Economic Advisors; Thomas Sargent, professor of economics at New York University and Nobel laureate; and William White, senior fellow at the C.D. Howe Institute and former economic advisor at the Bank for International Settlements (BIS). A brief look at their work and views over long and distinguished careers provides some insight into how they align with Mr. Warsh and his critique of the Fed over recent years.

Professor Mankiw, for example, lays out his views in a paper titled "Six Beliefs I Have About Inflation," (Harvard University, May 18, 2024). The first four beliefs revolve around the Phillips Curve as a good theoretical idea and why it does not work in practice. This is significant because it basically says by extension that the framework the Fed currently uses does not work. Beliefs number five and six are more interesting and dovetail with Warsh's views about what does work.

This leads to belief #5: "The monetary aggregates deserve more attention." Discussing the Fed's big inflation mistake after the pandemic, he says: "The first economist I know of who predicted an inflation surge of this magnitude was Jeremy Siegel. I saw him interviewed on CNBC on May 14, 2021. At the time I was worried about inflation as well, ...But I never thought inflation would rise as much as it did. Siegel, it seemed to me, was being an alarmist, but he turned out to be right. He made his prediction by looking at M2[1] which in 2021 had expanded at a rate not seen since the standard time series began in 1960." Mankiw goes on to say the arguments against considering the monetary aggregates don't hold water and he debunks them. Not coincidentally, M2 recently reappeared in a Fed description of the economy. For the first time, the semi-annual Monetary Policy Report released in July, the first under the Warsh chairmanship, includes a discussion of the M2 monetary aggregate in its evaluation of financial conditions.

The last time the Fed paid much attention to the money supply was during Paul Volcker's tenure in the early 1980s. To bring inflation down from the double-digit levels of the late 1970s, he set lower targets for money supply growth and adjusted interest rates to achieve them. Thus began the long disinflation trend that ended with the pandemic.

Professor Mankiw's Belief #6 about inflation has also made its way to the new Fed, having been discussed by Mr. Warsh at his June post-Federal Open Market Committee press conference: "A target of 2 for inflation is better than a target of 2.0." There is an old joke about economists: They express their sense of humor by putting decimal points on their forecasts. This gives an absurd sense of precision that their analysis and common sense cannot justify. Mr. Warsh made this exact point during his press conference, and it's another sign that the task force work will be the basis for policy at the new Warsh Fed. The implication is policy will focus on keeping inflation in a range around 2%, perhaps 1% to 3%. This would help it average about 2% over time. Recent Fed policy has stopped inflation from falling below 2%. For example, the Fed began easing after its last tightening campaign before inflation even got down to 2%. To average 2% inflation has to run below that sometimes to offset the times when it's above target. The Fed has not done that during the past five years, causing inflation to run persistently above 2%.

Fiscal Dominance Causes Debasement. The source of currency debasement is the inflation that results when the fiscal authority is able to take control of the money printing. History is replete with examples that prove this fact. This is the reason why the Fed was created with a certain amount of independence from political control. Despite this independence, Fed monetary policy has become less independent from

Investment Implications

Bringing inflation down to target and committing to a framework that explicitly controls inflation, much as Paul Volcker did in the 1980s, would likely end the five-year bear market in long-term Treasury bonds and also make financial sector stocks like banks more attractive for the long run.

[1] M2 measure works by conceptually leveraging or deleveraging a fund's portfolio to match the risk level of a reference benchmark, typically a broad market index.

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the risk of fiscal dominance since the Great Financial Crisis (GFC) 2007-2008. Policies adopted at that time to reduce the threat of a worse recession have reduced the Fed's separation from fiscal influence. As a Federal Reserve Board member at the time, who was instrumental helping then Chairman Ben Bernanke navigate the financial crisis, Kevin Warsh reportedly disagreed with the policy shifts and resigned. His reforms are aimed at reducing the threat of fiscal dominance.

This is where the Nobel laureate, Thomas Sargent comes into the picture. His selection with Christopher Sims, in 2011 for the Nobel Prize was based on their "empirical research on cause and effect in the macro economy." Some of their early work validated the role of the money supply as the cause of inflation and influenced the Volcker Fed's operations to bring down inflation in the 1980s. Over an illustrious academic career, he has focused on the interplay between fiscal and monetary policy and how that interplay varies depending on true independence versus different degrees of cooperation between the two authorities.

A recent paper[2] with George J. Hall Illustrates his approach to these issues. The paper begins its analysis with a quote from Milton Friedman's 1959 book A Program For Monetary Stability: *The fiction that the Federal Reserve System is only quasi-governmental and its separation from the departmental organization of the Federal Administration no doubt alter the impact of political influences and lead to different actions than would be taken if the Reserve System were administratively consolidated with the Treasury. As an economic matter, however, the accounts of the Federal Reserve and the Treasury must be consolidated to determine what monetary action government is taking or to judge what the effects of such action are likely to be.*

Fed officials have adamantly avoided discussing any role fiscal policy may have in their policies, yet the quote above makes it clear that the effects of any given monetary policy depend on what's happening with fiscal policy and the Treasury's accounts. The Fed's pandemic response is a clear example. By ignoring its impact on the money supply, Fed officials were blindsided by the inflation outbreak. As Professor Mankiw noted in the earlier quote, only monetarists saw that outbreak coming, but the Fed had purged monetarism from its thought process.

Warsh has picked Thomas Sargent to help bring monetarist insights back into the Fed's understanding of how inflation works. His focus on the interplay between monetary and fiscal action will fill in some of the holes in the current framework, which needs fixing according to the new boss. The necessity of looking at the Treasury and Fed accounts together to judge effects of monetary policy means that the Task Force on Balance Sheet Policy will be looking at "the institutional implications of the Fed's current balance sheet regime." The Fed has generally regarded the balance sheet as a technical tool to adjust financial market plumbing rather than something that should be fully integrated into the Fed's regular monetary policy, as was made clear for example in recent statements by the Chicago Fed president. In Sargent and Friedman's view, it needs to be integrated into a fully effective inflation framework. The balance sheet policy since the GFC has been part of the "mission creep" that has raised the risk of fiscal dominance. Shrinking it will likely hurt the debasement trade as the markets seem to be realizing. The leaders of the Balance Sheet Task force are chosen to fix these issues.

The third member of the Inflation Task Force, William White, is recognized for his early prediction, while at the BIS, of the crisis that caused the GFC. He is a long-time critic of the easy-money, low-interest rate policies that have created rising cumulative levels of debt through successive cycles. He also blames much of the rise in economic inequality on these policies. As the person who oversaw the preparation of the BIS Annual Report for over a decade, he brings a vast knowledge of the nitty gritty of global financial balance sheets and crises to helping develop a better less risky operating framework to control inflation in the U.S. In our view the task forces are going to create a fundamental structural shift in monetary policy that will reduce inflation and mitigate the affordability issues plaguing American households.

[2] *"Fiscal Consequences of the U.S. War on COVID,"* August 31, 2025.

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The Rotation Test

Kirsten Cabacungan, ***Vice President and Senior Investment Strategist***

Signs of broader market leadership have emerged across U.S. Equities in recent weeks, raising the possibility that the market may finally be broadening beyond a narrow group of AI leaders. Since the start of June, the equal-weight S&P 500 has outperformed its market-cap weighted counterpart, with leadership expanding beyond Technology and into sectors that lagged earlier this year, including Financials and Healthcare. Beneath the surface, participation has improved as well. More than 60% of S&P 500 constituents have outperformed the index since the start of June, while breadth on down days has strengthened considerably. A majority of S&P 500 stocks have finished higher on 11 of the index's last 16 down days since June, or roughly 69% of the time, compared with just 37% of down days over the prior year.

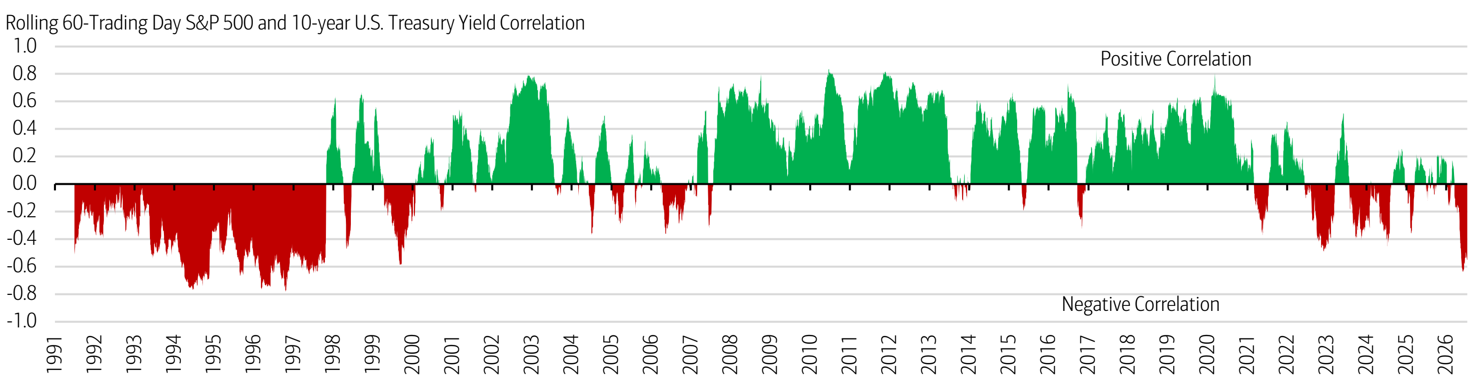
The key question now is not whether market breadth has improved, but whether it can finally be sustained. Investors have seen similar rotation attempts throughout this cycle, only to watch leadership narrow once again as inflation concerns and rate volatility returned to the forefront. That makes the current rotation an important test for the market. Is the market finally beginning to trade on earnings and economic growth, or will inflation and Fed policy expectations continue to dominate market dynamics?

The challenge for the rotation trade is that investors have spent this cycle trading inflation rather than growth. The AI boom has driven much of this bull market's returns and helped concentrate leadership among a relatively small group of mega-cap Technology stocks. However, while AI helps explain why leadership became concentrated, it does not fully explain why that concentration proved so difficult to break. Since 2022, inflation has remained stubbornly above the Fed's 2% target, causing investors to view stronger economic data more through the lens of monetary policy rather than earnings growth. As a result, the relationship between stocks and bond yields has shifted meaningfully. The three-month rolling correlation between the S&P 500 and the 10-year U.S. Treasury yield has turned firmly negative (Exhibit 1), a sharp departure from much of the previous two decades, when higher yields often reflected stronger growth expectations and could coexist with Equity gains. In today's environment, rising yields have more often been interpreted as a signal of persistent inflation and tighter financial conditions, creating a headwind for broader market participation. Put differently, broader market leadership has typically emerged when inflation and rate pressures have eased. That dynamic helps explain why rotation trades have struggled to gain lasting momentum during this cycle.

Investment Implications

One of the most important developments of Q2 was the broadening of market leadership, which suggests potential opportunities are increasingly extending beyond the largest AI beneficiaries. We therefore favor diversified exposure across size, style and sectors, including cyclical areas positioned to benefit from improving manufacturing activity, infrastructure investment and a resilient consumer. We continue to emphasize a high degree of diversification during this stage of the cycle.

Exhibit 1: The Relationship Between Stocks and Bond Yields has Flipped Negative.



Source: Bloomberg. Data as of May 27, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

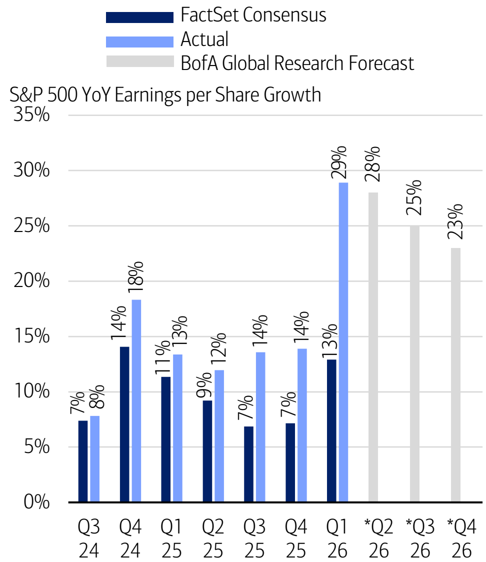
Recent market broadening appears to reflect a subtle but important shift in investor behavior. As geopolitical risks surrounding the U.S./Iran conflict appeared to subside and oil prices retreated in June, investors became increasingly willing to look beyond a narrow and crowded group of AI leaders following their powerful rally since the March lows. Importantly, the rotation reflected a market rebalancing rather than a broad risk-off capitulation, with investors still embracing the AI theme while increasingly broadening exposure to other areas of the market across sectors, styles and sizes. Financials and Healthcare emerged as early beneficiaries, while Small-caps and Value-oriented stocks also attracted renewed investor interest. The recent broadening has been encouraging, but it remains highly dependent on the inflation backdrop. Renewed military tensions in the Middle East serve as a reminder that inflation concerns have not fully disappeared and could once again challenge broader market participation.

The good news is that fundamental conditions are increasingly supportive of broader market leadership. Historically, sustained periods of market broadening have required earnings growth breadth, and there are growing signs that condition is falling into place. Earnings estimates show no signs of earnings momentum rolling over. BofA Global Research forecasts Q2 S&P 500 earnings per share (EPS) growth of 28% year-on-year (YoY) and have raised their full-year 2026 estimate to 26%. If realized, Q2 would mark a seventh consecutive quarter of double-digit YoY earnings growth and the second straight quarter above 20% (Exhibit 2). While the bulk of Q2 earnings growth is expected to be driven by Tech and Energy, the more important signal is that earnings growth looks more broad-based. FactSet estimates show 10 of 11 S&P 500 sectors are expected to post positive YoY growth in Q2 and all sectors are expected to deliver positive growth for the full year.

Broadening earnings growth is being reinforced by a resilient economic backdrop. The Institute for Supply Management Manufacturing Purchasing Managers' Index (PMI) has remained in expansion territory, increasing 9% YoY on average in Q2, while the ISM Services PMI rose 6% YoY on average during the quarter (Exhibit 3). Historically, these trends have been consistent with continued earnings growth, with the Manufacturing PMI trend implying roughly 10% EPS growth in Q2 while Services PMI implies closer to 20% growth, according to BofA Global Research. While those historical relationships imply earnings growth below current consensus expectations, they likely understate the contribution from Technology in the current cycle. More importantly, improving manufacturing and services activity suggests the growth backdrop remains supportive of the areas of the market that have recently benefited from broader participation. Together with improving earnings breadth, that provides a strong fundamental foundation for broader market leadership.

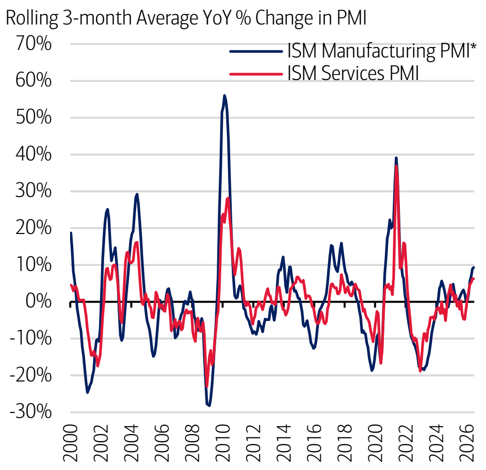
The bottom line for investors is not to abandon the AI trade but to broaden exposure beyond it. As the macroeconomic backdrop remains resilient and earnings growth broadens, diversification across sectors, styles and market capitalizations becomes increasingly important. Still, this remains an inflation-driven cycle. The durability of the current rotation will depend in large part on whether inflation pressures remain contained and how policymakers respond. The evolution of the conflict in the Middle East and its implications for energy prices therefore remain important to monitor. For now, however, broader earnings participation and improving economic activity suggest that market leadership may finally have a stronger foundation than at other points during this cycle.

Exhibit 2: Earnings Growth Remains Resilient.



*Estimates. BofA Global Research; FactSet. Data as of July 16, 2026.

Exhibit 3: Economic Activity Is Expanding.



*Institute for Supply Management Purchasing Managers' Index. Source: Bloomberg. Data as of July 16, 2026. Please refer to index definitions at the end of this report.

What is our view regarding the prospects for the return on the massive AI capital investment? Is all of this worth it?

Christopher Hyzy, *Chief Investment Officer*

Much of the focus on the actual return on investment (ROI) has been squarely on the consumer side of the buildout, not on the full picture. The consumer side of this equation only looks at traditional spending similar to the initial movement in software many years ago. The focus is on the cost per user over a set timeframe—number of subscribers multiplied by the cost per subscription. There will likely be some components of this as a core element of accumulating revenues if you are a large language model owner or a hyperscaler in general. However, in our view, this is likely only a sliver of the overall return.

The "real" return is wider and deeper. It involves examining corporate profit margins across industry groups in public and private companies of all sizes. If margins are expanding, profitability rising and economic growth increasing collectively, the ROI is inherent in the overall growth in the pool of capital globally. In other words, the payback is higher growth, greater profitability, wider margins and increasing productivity. The ROI is not on the nominal spend by consumers and corporations that are individual users of AI—it is whether or not the level of economic growth over time is much higher. Does this create a flywheel or a pendulum?

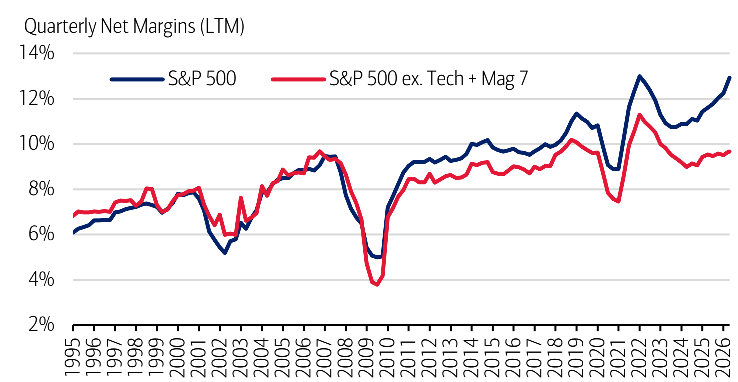
We say flywheel. When the railroads were first built and tracks were laid, the capital investment was extensive and took years. The payback wasn't the cost of a passenger ticket—it was the overall level of commerce of goods and services that was created. Not to mention the growth of new cities, new industries and ultimately new jobs.

Investment Implications

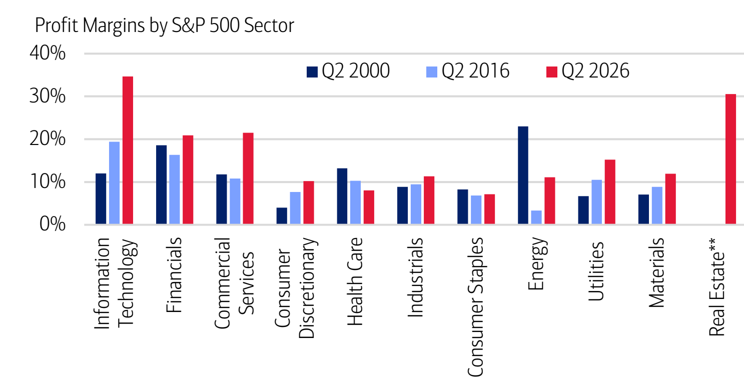
AI-driven shortages across Compute, Light, Architecture, Memory, Power and Stacks (CLAMPS), along with key resources and infrastructure, are expected to support higher productivity, sustained profit margins, broad Equity potential opportunities, asset reflation, and relatively stable interest rates.

Exhibit 4: Margin Resiliency Across Industries.

A) Excluding Technology and Magnificent 7*, S&P 500 Margins Continue to Expand.



B) Seven Sectors Exhibiting Higher Profit Margins Compared to 10 years ago.



*Magnificent 7=Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla. Exhibit 4A) Source: FactSet. Data as of July 16, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.** Exhibit 4B) Source: Bloomberg. Data as of June 30, 2026. **Real Estate data available from September 2016 to June 2026.

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	52,146.42	-0.9	-0.3	9.4
NASDAQ	25,520.24	-2.9	-2.6	10.2
S&P 500	7,457.69	-1.5	-0.5	9.6
S&P 400 Mid Cap	3,775.17	-0.1	-2.0	15.0
Russell 2000	2,962.22	-0.5	-2.0	20.1
MSCI World	4,807.71	-1.2	-0.3	9.3
MSCI EAFE	3,100.07	-0.8	-0.5	8.9
MSCI Emerging Markets	1,620.66	-4.1	-5.8	16.7

Fixed Income†

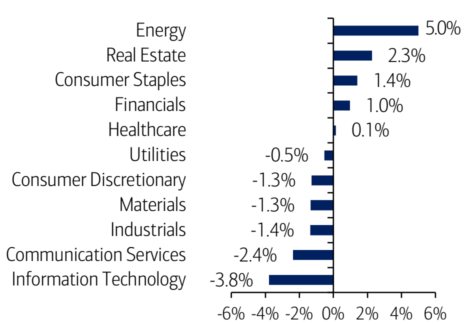
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.74	0.12	-0.47	0.02
Agencies	4.49	0.16	-0.06	0.55
Municipals	3.73	-0.40	-0.80	1.50
U.S. Investment-Grade Credit	4.83	0.13	-0.45	0.16
International	5.31	0.07	-0.70	0.15
High Yield	7.18	0.03	0.15	2.11
90 Day Yield	3.79	3.78	3.81	3.63
2 Year Yield	4.18	4.21	4.17	3.47
10 Year Yield	4.55	4.56	4.47	4.17
30 Year Yield	5.07	5.06	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	337.51	3.6	6.8	22.2
WTI Crude $/Barrel††	82.49	15.5	18.7	43.7
Gold Spot $/Ounce††	4017.39	-2.5	0.2	-7.0

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	162.40	161.68	162.55	156.71
USD/CNH	6.78	6.78	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/13/2026 to 07/17/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/17/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/17/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5*	2.5	2.4	2.3	2.2
CPI inflation (% y/y)	2.7	3.8*	3.3	2.9	3.2	2.1
Core CPI inflation (% y/y)	2.5	2.7*	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 17, 2026.
Sources: BofA Global Research; GWIM ISC as of July 17, 2026.

Asset Class Weightings (as of 7/7/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of July 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal-Weighted Index is an alternative version of the standard S&P 500. While it includes the exact same 500 companies, it assigns an equal fixed weight to every stock—roughly 0.2%—regardless of a company's physical size or market capitalization.

Institute for Supply Management Manufacturing Purchasing Managers' Index is a monthly economic indicator that measures the health of the U.S. manufacturing sector.

Institute for Supply Management Services Purchasing Managers' Index is a monthly economic indicator measuring the health of the U.S. service sector.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 13, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Divergences, Shocks, and Inflation Dynamics:* "Cyclical" inflation—related to categories that rise and fall with the business cycle and labor market conditions—has eased substantially toward near prepandemic levels on a year-over-year (YoY) basis and remains in a downtrend. The renewed inflation flare-up appears mainly related to supply-side shocks, such as increased tariffs and Strait of Hormuz disruptions—layered on top of other "acyclical," industry-specific inflation pressures (insurance, healthcare, electricity prices and other Artificial Intelligence (AI)-related cost-push inflation). Encouragingly, tariff effects are estimated to have peaked, oil prices have moderated, money-supply growth is about average, and inflation expectations appear reasonably well anchored. In our view, the Federal Reserve (Fed) is therefore more likely to remain on hold than tighten again absent an unexpected strengthening of labor demand and unit labor costs.

Market View—*Market Snippets: U.S. Real GDP Growth and Exceptional Foreign Demand for U.S. Assets:* We believe the U.S. economy is a great deal stronger than headline figures suggest and continue to be amazed at the level of foreign demand for U.S. securities. First, don't buy the narrative that the U.S. economy is on a slippery slope to slower growth. Headline gross domestic product (GDP) figures look softer, but the drag is coming from trade, not underlying consumption or investment. Imports of high-technology products tethered to the AI buildout have skyrocketed, widening the trade deficit, while underlying growth remains supported by strong capital expenditures (capex) and consumer spending. At the same time, the U.S. remains the world's premier destination for foreign direct investment (FDI) thanks to a massive and wealthy consumer base, deep capital markets, technology and innovation excellence, and strong institutional variables. Meanwhile, foreign money managers are just as bullish: Foreign ownership of U.S. securities hit a record $35.1 trillion in Q1 2026. The bottom line: global firms and excess global liquidity still prefer to be inside the U.S., underwriting America's growth, competitiveness and capital markets.

Thought of the Week—*A High Hurdle for Q2 Earnings:* Expectations heading into Q2 earnings season are high, with analysts now anticipating earnings growth of over 20% for the S&P 500, a forecast that has steadily moved higher through wartime and follows the most profitable quarter in index history. If realized, it would represent the second consecutive quarter of earnings growth exceeding 20%. Beneath the surface however, the market's foundation has broadened. A narrow advance has evolved into a broader rally, with strength spreading across sectors, stocks and market capitalizations. That combination of robust earnings growth and expanding participation provides a constructive backdrop even as companies face one of the highest earnings hurdles seen in years.

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MARKET VIEW ▶

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MARKETS IN REVIEW ▶

Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs, and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction, and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals, and defense equipment are expected to support productivity, profit margins, asset-price growth, and attractive potential opportunities across global equity markets, despite periodic "Bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials, and Consumer Discretionary—while maintaining balanced exposure between Growth and Value, and views higher Fixed Income yields as attractive for income, diversification, and risk compensation.

MACRO STRATEGY

Divergences, Shocks, and Inflation Dynamics

Chief Investment Office, *Macro Strategy Team*

With inflation reaccelerating over the past year and new Fed Chair Warsh striking a hawkish tone at his first post-policy-setting press conference, expectations for renewed aggressive rate hikes have sharply increased. Inflation no doubt deserves attention—headline personal consumption expenditures (PCE) inflation rose 4.1% YoY in May, while "core" PCE (ex food and energy) increased 3.4%, both uncomfortably above the Fed's 2% target.

Yet, in our view, the case for substantially tighter monetary policy at this point appears less supported by underlying growth and inflation dynamics than perceived. Here is some color behind our view that, absent a surprise hiring spree and increase in unit labor costs, there is scope for patience before imposing additional restraint on already moderate and uneven growth:

- **Tariffs and energy prices account for a substantial part of the recent inflation flare-up**. According to Dallas Fed May research, tariffs alone contributed roughly 0.8 percentage points to March "core" PCE inflation (i.e., it would have been 2.3% YoY instead of 3.1%). The direct impact from tariffs is also estimated to have peaked in Q1. U.S./Iran war uncertainty remains high, but supply-chain pressures quickly started to ease following the tentative reopening of the Strait of Hormuz (lower oil prices, easing freight rates, and moderating fertilizer prices). This suggests major supply-driven inflation pressures are set to fade absent geopolitical conflict escalation.
- **Methodological changes expected by late September seen lowering reported "core" PCE inflation**. With U.S. Bureau of Economic Analysis efforts to address price measurement issues around portfolio management fees, computer software and accessories, and legal services, "core" PCE inflation is expected to be revised slightly lower. According to Evercore ISI research, net changes imply a 3.2% revised May "core" PCE inflation versus 3.4% currently reported.
- **Labor market conditions remain uneven**. Wealth effects, government spending and the AI investment boom have continued to support aggregate demand, helping boost employment this year after the 2025 second-half hiring slump.

  Still, monthly employment growth has sequentially lost steam since March and labor income growth is below average (Exhibit 1). Moreover, private sector jobs outside healthcare and education have barely recovered their steep second half of 2025 declines and remain lower than two years ago. This helps explain why consumer perceptions of job-finding prospects have continued to deteriorate despite resilient economic growth. Job openings, quit rates, wage growth and hiring intentions in the National Federation of Independent Business small business survey remain consistent with moderate labor demand.
- **Growth resilient but not overheating**. Supported by the AI buildout, strong corporate profits, large fiscal deficits and positive wealth effects, real GDP growth is running at around a 2% pace in the first half despite strong headwinds. This is in line with 2025 and the 20-year average. However, real consumer spending has increased only 1.4% annualized from January to May (well below its 2.6% growth in 2025 and 2.2% 20-year average). Incoming data have generally continued to surprise to the upside but remain consistent with moderate growth and subdued hiring (including the Institute for Supply Management manufacturing and services surveys for June). Also, while fiscal deficits remain large, fiscal policy is expected to become less of a tailwind to growth in coming quarters. It would be hard for private sector growth to offset the fading fiscal impulse with much higher Fed policy rates.
- **Credit and money-supply growth is tame, and inflation expectations are still anchored**.
- **Wealth effects have supported high levels of activity but are unlikely to drive meaningful growth reacceleration absent stronger employment and real labor income growth**. Retired or near-retirement households own a disproportionate share of financial wealth. Yet, as they age, spending typically tilts toward essential goods and services, and long-term care prospects encourage precautionary saving. Also, wealth polarization lowers aggregate wealth effects. Given large wealth gains, combined real spending on air travel, jewelry, recreation goods/services, and leisure and accommodation—as an illustrative proxy for discretionary spending—has remained above trend. However, it has declined year-to-date (YTD) and is lower than year ago levels, consistent with depressed consumer sentiment and Consumer Discretionary sector underperformance YTD.

Investment Implications

Absent a surprise reacceleration of employment and spending, we continue to believe that the growth and inflation outlook favors an extended period of stable policy rates, a positive for continued expansion and risk assets.

- **Subdued hiring and consumer spending help explain the normalization of cyclical inflation.** Slowing employment and wage growth along with higher prices have crowded out discretionary spending, cooling "cyclical" inflation. According to the San Francisco Fed, "cyclical" inflation—by definition closely tied to employment and wage growth—has returned to prepandemic levels. The recent inflation flareup has been concentrated in "acyclical" inflation (Exhibit 2), which is less sensitive to employment and more affected by supply shocks (energy, import prices) as well as by administered and industry-specific prices (i.e., tariffs, insurance, healthcare, AI-related electricity and electronics).

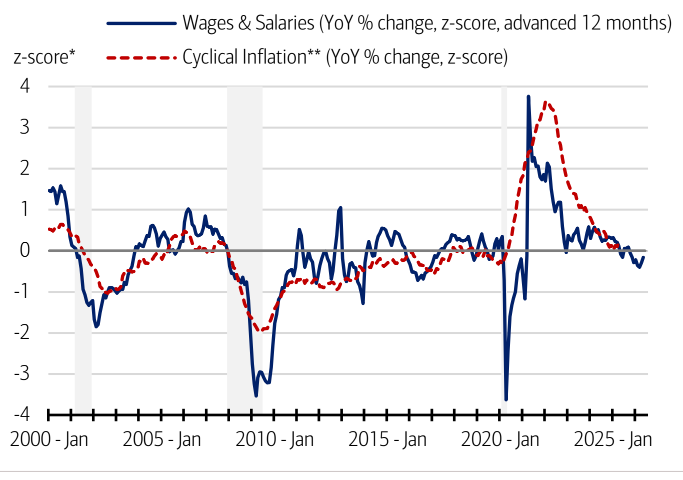
  Some of these effects are beginning to fade (tariffs), and some are seen dissipating over the next year (electronics). Also, as shown in Exhibit 1, softening labor income growth suggests further "cyclical" disinflation. Thus, absent a surprise reacceleration in employment and unit labor costs, inflation is likely to moderate again in coming quarters even without aggressive Fed tightening.

In sum, wealth effects and large government deficits have offered substantial support to the economy in the face of strong headwinds. However, by mitigating the consumer sector's self-adjustment to higher prices through much weaker real growth, they have also accommodated "acyclical" effects on inflation. This has prolonged the post-pandemic disinflation process, maintaining a disproportionate adjustment burden on cyclical activity. As a result, employment, consumer spending and economic growth have remained resilient but moderate, labor income slowed while profits surged, and "cyclical" inflation continued to trend lower while "acyclical" inflation reaccelerated.

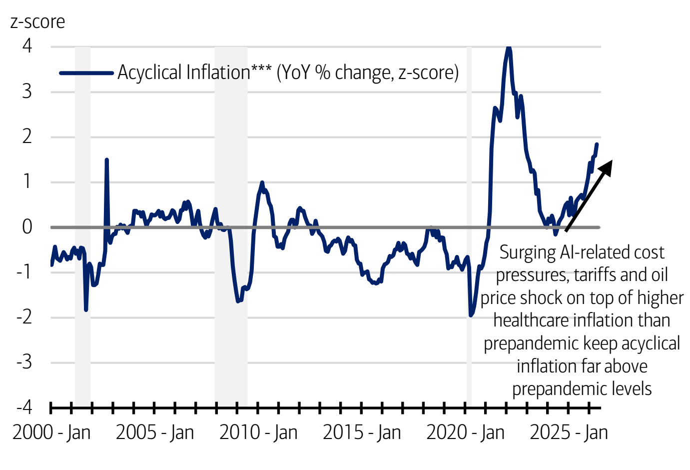
There is little evidence of overheating growth, and some supply-driven inflation effects are already peaking or are poised to fade. In our view, with moderate economic data and a fading fiscal tailwind next year, aggressive tightening risks imposing an excessive adjustment burden on already restrained interest rate sensitive sectors—such as housing, discretionary spending, and labor demand—delivering additional disinflation at potentially significant economic cost. A slightly longer period of soft-to-moderate growth with somewhat persistent but receding inflation, as we expect, would be supportive for risk assets, which benefit from lower macro volatility, moderate interest rates, and sustained expansion and profits growth.

Exhibit 1: Inflation Divergence Likely to Resolve to the Downside.

A) Cyclical inflation back to normal and under further downside pressure.



B) Timing strongly supports a supply-side-shock inflation explanation.



*z-score= number of standard deviations from the mean of a data set. Exhibit 1A) **Inflation driven by business-cycle conditions. Sources: San Francisco Fed/Haver Analytics. Data as of July 8, 2026. Exhibit 1B) ***Inflation driven by industry-specific factors, administered prices, and supply shocks. Sources: Bureau of Economic Analysis; San Francisco Fed/Haver Analytics. Data as of July 8, 2026.

Market Snippets: U.S. Real GDP Growth and Exceptional Foreign Demand for U.S. Assets

Joseph Quinlan, Managing Director and Head of CIO Market Strategy
Ariana Chiu, Assistant Vice President and Investment Strategist

We believe the U.S. economy is a great deal stronger than headline figures suggest and continue to be amazed at the level of foreign demand for U.S. securities. Both dynamics—solid real growth and sturdy foreign capital inflows—are bullish for the U.S. economy and capital markets. We briefly discuss each variable below.

The U.S. Economy: Stronger than you think. Don't buy the narrative that the U.S. economy is on a slippery slope to slower growth. Yes, the Atlanta Fed's GDPNow forecast estimates the U.S. economy grew by just 1.3% in Q2 on an annualized basis, following 2.1% growth in Q1. But there's one important caveat to note: The drag to growth is coming from trade, or America's widening trade deficit, which could shave roughly 1.3% off of growth for Q2.

That's because imports of high-technology products tethered to the AI buildout have skyrocketed in recent months—enough to offset the surge in U.S. oil exports fueled by the war in the Middle East. As an example, imports of computer accessories and telecommunications equipment increased by 88% and 48% YoY in May, respectively. Semiconductor imports nearly doubled YoY to $12 billion in May,[1] surpassing U.S. imports of apparel and footwear for the first time. Indeed, if not for soaring exports of crude oil and petroleum products, which hit a record $28 billion in May, the U.S. trade deficit would have widened even further, and real growth would have been even weaker.

The good news? Remove volatile trade and inventory data, and growth in real final sales to private domestic purchasers is tracking closer to 3% for the quarter, up from 1.7% in Q1 (Exhibit 2). Domestic demand remains solid thanks to strong capex spending and consumer spending. The former has been bolstered by expanding investment in data centers, and the associated demand for spending on semiconductors, power generation equipment, optical networking, cooling infrastructure, grid components, and related goods. Consumer spending, meanwhile, continues to be supported by higher income households, in addition to a relatively low unemployment rate (4.2%), solid wage gains, and, more recently, lower energy prices.

The bottom line: Don't be spooked by headlines speaking to a U.S. economy that is losing steam—it's trade, not underlying consumption or investment, that has weighed on U.S. growth estimates.

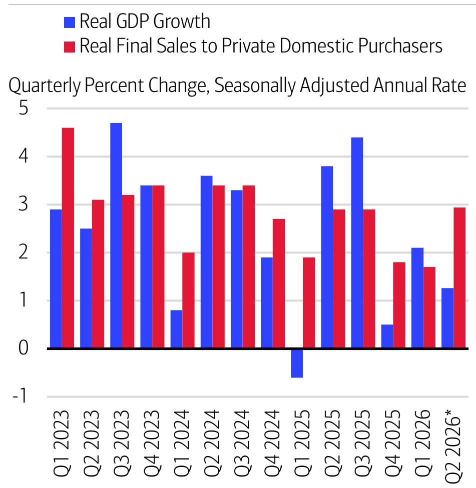
America: Still No. 1 In Terms of Inflows. Rising trade tensions, geopolitical fragmentation, and economic volatility have all weighed on global FDI this decade, although when it comes to attracting capital from the world's largest companies, one destination stands out: the U.S.

Based on the latest figures from the United Nations, the U.S.—by a wide margin—yet again was the largest recipient of global FDI last year, attracting some $277 billion in 2025. As Exhibit 3 underscores, the amount of foreign capital invested in the U.S. in 2025 was well ahead of second-place Singapore ($151 billion), third-place Hong Kong ($116 billion) and lagging China ($105 billion). Investment in data centers and energy infrastructure were the primary targets of foreign investors.

Investment Implications

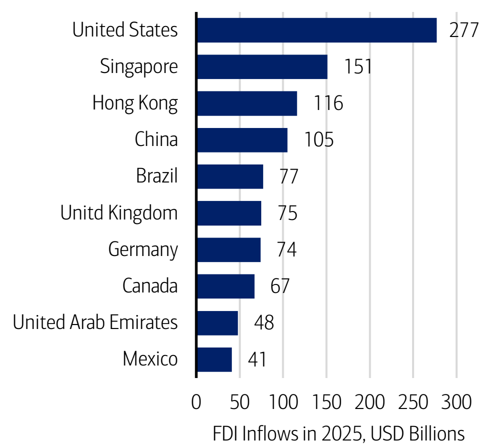
In an era of global fragmentation, America will continue to be the premier destination of excess global liquidity in our view. Solid growth and robust capital and portfolio inflows strengthen the case for maintaining a U.S. bias in portfolios.

Exhibit 2: Underlying U.S. Growth Remains Strong



*Atlanta Fed estimate as of July 8, 2026. Source: Bureau of Economic Analysis, Haver Analytics. Data as of July 8, 2026.

Exhibit 3: Top 10 Recipients of Foreign Direct Investment in 2025



Source: United Nations. Data as of July 7, 2026.

[1] Census Bureau. Data as of July 2026.

The U.S. remains the world's premier destination for FDI for a number of reasons. A massive and wealthy consumer base, a hub for technology and innovation excellence, deep capital markets, a large and highly skilled labor force, and strong institutional variables like a strong rule of law and intellectual property rights—all of these dynamics have long been key factors pulling in capital from overseas. Also drawing more capital: the risk of U.S. trade protectionism, which has incentivized foreign firms to be "inside" the U.S. market as opposed to being "outside."

Robust capital inflows, in turn, have been hugely beneficial to the U.S. economy. The greater the level of FDI, the greater the job creation in the U.S. and higher wages. Think more tax revenues for local communities, more exports, and more research and development spending—all of which strengthens the competitive position of the U.S. economy relative to the rest of the world.

The bottom line: An era of global fragmentation and heightened geopolitical risk has sent multinationals scrambling to rethink how, where and what to produce. Global supply chains are being reconfigured as we write. Everything is in flux, although one constant remains: the preference among global firms to be "inside" the U.S., the largest and most profitable market in the world.

Foreign money managers are just as bullish on the U.S. as foreign multinationals. Foreign capital inflows to the U.S. are double-barreled—think strong flows not only from foreign corporations but also offshore money managers. As Exhibit 4 depicts, foreign ownership of U.S. securities (U.S. Treasurys, agencies, corporate bonds and U.S. Equities) totaled a record high of $35.1 trillion in Q1 2026. Foreign ownership of U.S. securities is roughly 10 times larger today than at the beginning of this century.

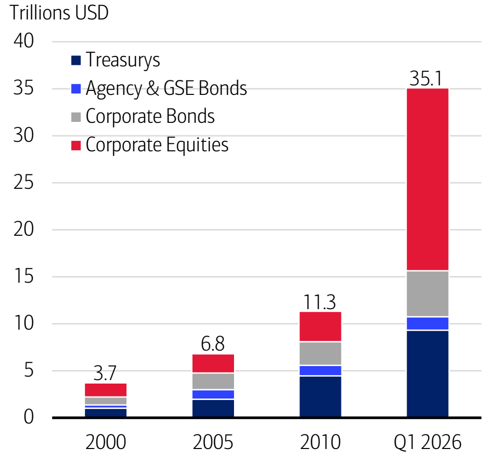
Based on the latest data from the Fed's Flow of Funds series, foreign ownership of U.S. Treasurys reached a record high of $9.3 trillion in Q1, complemented by foreigners owning some $1.4 trillion in government agency bonds, $4.9 trillion in corporate bonds and $19.4 trillion in U.S. Equities. In the context of total holdings, Exhibit 5 highlights that foreigners continue to control a sizable share of the Treasury market (30%), government agencies (11%), corporates (37%), and equities (21%). All of the above is another way of saying that the world still prefers to invest its excess capital in U.S. securities, notwithstanding all the chatter about the U.S. dollar debasement trade and central bank purchases of gold.

Yes, the world's money managers have diversified their dollar holdings this decade. But at the end of the day, America's resilient economy-cum-deep capital markets remains a key draw to money managers sitting in Europe, the Middle East and Asia. As we have often highlighted in the past, no financial system on the planet has the volume of investment-grade assets, nor the absorptive capacity to inhale and exhale the world's excess capital. The first port of call for much of the world's capital remains the U.S.

And that's bullish for the U.S. since portfolio inflows represent an abundant and cheap source of financing for a U.S. government perennially in debt. Other people's money allows the U.S. government, corporations and households to borrow and spend at significantly lower borrowing costs that would otherwise be impossible. Notably, massive global demand for U.S. Treasurys helps suppress government bond yields, lowering the interest burden on federal debt.

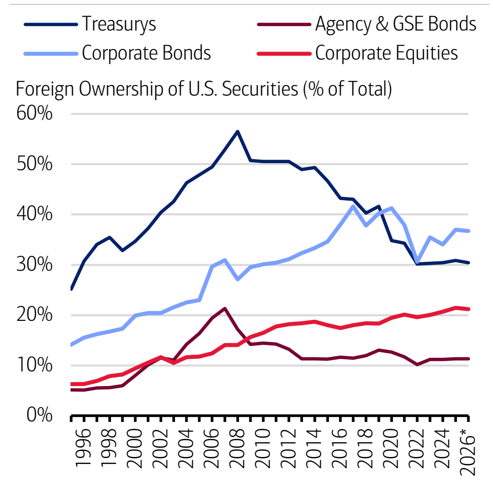
The bottom line: The U.S. economy enjoys a privilege the rest of the world dreams of: excess global liquidity that helps grease real growth, consumption and investment, underwriting America's global competitiveness.

Exhibit 4: Foreign Ownership of U.S. Securities.



*Government-sponsored Enterprise. Source: Federal Reserve Board. Data as of June 11, 2026. It is not possible to invest directly in an index. **Please refer to index definitions at the end of this report.**.

Exhibit 5: Percent of U.S. Securities Held by Foreigners.



*2026 data refers to Q1 2026. Source: Federal Reserve Board. Data as of June 11, 2026. It is not possible to invest directly in an index. **Please refer to index definitions at the end of this report.**.

THOUGHT OF THE WEEK

A High Hurdle for Q2 Earnings

Lauren Sanfilippo, *Director and Senior Investment Strategist*

Q2 earnings season begins with an unusually high bar for companies to clear. Analysts now expect S&P 500 earnings growth of roughly 23% YoY, up 4% since the end of March.[2] If realized, this would be the second consecutive quarter of 20%+ earnings growth. Those upward revisions follow the most profitable quarter yet for the S&P 500 and leave little room for disappointment.[3]

At the same time, the market has rotated, as capital left the most extended pockets of growth, momentum and direct AI exposure and found a broader set of industries and market capitalizations. As Exhibit 6A shows, the number of S&P 500 members trading above their 50-day moving average continues to climb, a sign that the market advance is being shared across individual stocks. At the sector level, Financials, Healthcare and Consumer Staples have benefited from the rotation out of chip stocks. While the Magnificent 7[4] are flat YTD, the rest of the market, or "the S&P 493," is up 14%. Said another way, while the S&P 500 Index appears to be in a tight range since its all-time high made in early June, the equal-weighted S&P 500 has been making new highs in July. Weakness or consolidation among some of the largest names has given way to strength across a broader set of constituents.

Consider that around 50 S&P 500 stocks are up more than 50% YTD and almost 15 have doubled. At the same time, far fewer stocks have suffered comparable drawdowns. This is a market with meaningful churn, but also one where upside dispersion has been substantial. Speaking of upside, the rotation has also been evident along the capitalization spectrum, with Small-caps on track for one of their biggest periods of outperformance to the S&P 500 in decades.

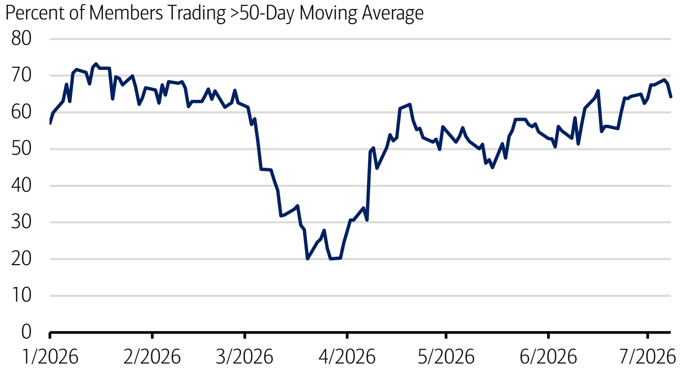
The broader thesis going into earnings season remains constructive as U.S. companies continue to find ways to grow earnings. Most encouraging is that earnings estimates for all sectors are positive for the first time in five years. The last time occurred during the second half of 2021 when the U.S. economy reopened following the pandemic.[5] See Exhibit 6B, which further points to the rarity of the set up. Since 1995 the S&P 500 has generated calendar-year earnings growth of over 20% only six times—1995, 2003, 2004, 2010, 2018, and 2021. If estimates hold, 2026 will make seven.

Investment Implications

The high level of earnings growth and improving breadth reinforces the case for diversification. From a portfolio positioning standpoint, as market leadership expands beyond a handful of stocks the potential opportunity set for investors widens.

Exhibit 6: Better Participation and Great Expectations in the S&P 500.

A) Better Breadth after Dipping at the end of Q1.



B) Instances of 20%+ Earnings Growth.

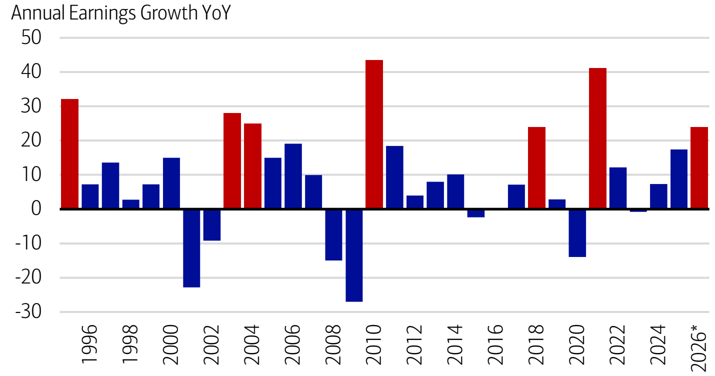


Exhibit 6A) Note: 60-80% of stocks trading above their 50-Day Moving Average is considered "healthy breadth." Source: Bloomberg. Data as of July 8, 2026. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. Exhibit 6B) *Consensus Estimate for 2026. Source: Bloomberg. Data as of July 2026. It is not possible to invest directly in an index. **Please refer to index definitions at the end of this report.** .

2 Source: FactSet as of July 8, 2026. Note: A more usual pattern is for estimates to decline before reporting begins.

3 As measured by net margin and dollars earned. As of Q1 2026.

4 Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

5 Source: Yardeni research as of July 8, 2026.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	52,637.01	-0.5	0.6	10.5
NASDAQ	26,281.61	1.7	0.3	13.4
S&P 500	7,575.39	1.3	1.0	11.4
S&P 400 Mid Cap	3,780.11	-0.6	-1.9	15.2
Russell 2000	2,977.81	-0.6	-1.5	20.7
MSCI World	4,867.82	0.8	0.9	10.7
MSCI EAFE	3,125.35	-0.6	0.3	9.8
MSCI Emerging Markets	1,690.70	0.4	-1.7	21.7

Fixed Income†

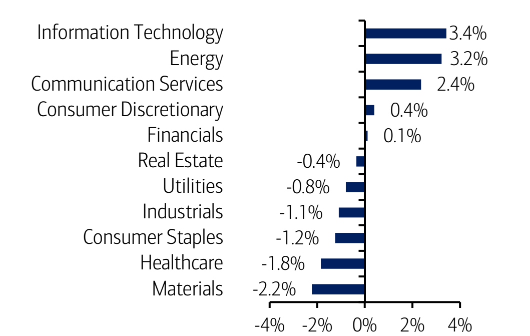
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.76	-0.44	-0.59	-0.10
Agencies	4.51	-0.19	-0.22	0.39
Municipals	3.65	-0.32	-0.40	1.91
U.S. Investment-Grade Credit	4.84	-0.44	-0.58	0.04
International	5.32	-0.60	-0.76	0.08
High Yield	7.16	0.02	0.11	2.07
90 Day Yield	3.78	3.75	3.81	3.63
2 Year Yield	4.21	4.14	4.17	3.47
10 Year Yield	4.56	4.48	4.47	4.17
30 Year Yield	5.06	4.99	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	325.64	3.1	3.1	17.9
WTI Crude $/Barrel††	71.41	4.0	2.7	24.4
Gold Spot $/Ounce††	4119.93	-0.1	2.8	-4.6

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	161.68	161.11	162.55	156.71
USD/CNH	6.78	6.79	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/06/2026 to 07/10/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/10/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/10/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5*	2.5	2.4	2.3	2.2
CPI inflation (% y/y)	2.7	3.9*	3.4	3.0	3.2	2.1
Core CPI inflation (% y/y)	2.5	2.8*	2.7	2.8	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 10, 2026.
Sources: BofA Global Research; GWIM ISC as of July 10, 2026.

Asset Class Weightings (as of 7/7/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Treasury/Bloomberg U.S. Treasury Index measures U.S. dollar-denominated, fixed-rate, nominal debt issued by the U.S. Treasury. Treasury bills are excluded by the maturity constraint, but are part of a separate Short Treasury Index. STRIPS are excluded from the index because their inclusion would result in double-counting.

Corporate Bond/Bloomberg U.S. Corporate Bond Index is a broad benchmark that measures the performance of the investment-grade, fixed-rate, taxable corporate bond market in the United States.

Agency & GSE Bonds/Bloomberg US Aggregate Bond Index is a broad-based benchmark that includes agency bonds and Government Sponsored Enterprises (GSE) bonds, alongside other investment-grade U.S. dollar-denominated fixed-rate taxable securities.

Corporate Equities/Bloomberg Corporate Equities Index are a broad range of stock market indices, tracking the performance of a selection of stocks, typically focused on a specific sector or geographic region.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 6, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Kevin Warsh and the End of Global Capital Abundance:* Federal Reserve (Fed) Chairman Kevin Warsh inherits a significantly different world from his predecessors. The days when 1) globalization expanded the global supply of labor, 2) multinationals seamlessly stretched and leveraged supply chains around the world, 3) geopolitical tensions were in remission, resulting in a peace dividend, and 4) global capital flowed freely across borders—those days are gone. What's more, Warsh takes the monetary helm at a time when demand for global capital has rarely been stronger. From governments running massive structural budget deficits to hyperscalers requiring more capital to build out data centers to U.S. households now holding over $1.2 trillion in credit card debt—borrowing at all levels has rarely been stronger. Everyone wants more capital. Against this backdrop, global real interest rates could remain structurally higher, capital discipline will be key among corporates, profligate nations will be disciplined with higher premiums, and nations with the strongest economics will likely outperform their peers—think the U.S.

Market View—*The Road to 2027: Five Questions (and Answers) for the Second Half:* A war in the Middle East, an energy shock via the closure of the Strait of Hormuz, renewed tariff threats, concerns about Private Credit—the first half of 2026 packed a decade's worth of events into six months. The second half is set to be just as eventful with midterm elections, a new Fed chairman, and an Artificial Intelligence (AI) revolution that evolves by the day. This week we examine five key questions that we believe will dominate the investment landscape for the balance of the year: (1) *Is the rotation here to stay?* (Yes, in our view.); (2) *Are we at peak capital expenditures (capex)?* (Unlikely.); (3) *Have we seen the worst of inflation?* (We think yes, though the path of expectations remains key to watch.); (4) *What do shifting global central bank expectations mean for investors?* (It depends.); and finally, (5) *How will midterm elections impact markets?* (A correction preelection wouldn't be out of the ordinary.) Let the 24 fresh all-time highs for the S&P 500 in the first half of this year be a friendly reminder that even in the midst of uncertainty, equity markets tend to look forward to what matters—future profits, which continue to be revised higher.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the largest concern that could unravel your bullish narrative?

AUTHORS

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Christopher Hyzy
Chief Investment Officer

Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Kevin Warsh and the End of Global Capital Abundance

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***

For much of the past quarter century, the global economy has enjoyed a remarkable luxury: An abundant, cheap, and seemingly limitless pool of capital. In this world, as surplus capital poured out of China, Germany, Japan and oil-producing nations, global interest rates drifted steadily lower, and the world's largest debtor nation—the U.S.—lived beyond its means.

In 2005, former Fed Chair Ben Bernanke characterized this abundance as a "global savings glut"—and used this intellectual rubric to explain why U.S. long-term bond yields could remain low despite strong economic growth, expanding deficits (federal and current account) and a Fed in interest rate-hiking mode (between June 2004 and June 2006, the Fed raised the fed funds rate from 1% to 5.25% with nary any impact on longer-term yields).

Flush with capital, governments accumulated debt without experiencing meaningful increases in borrowing costs. Corporations borrowed at negligible rates. Households gained access to cheap capital. And asset prices rose in an increasingly capital-rich environment.

In addition, just as excess savings helped suppress global interest rates, excess production from Japan, Germany and, notably, China helped suppress goods inflation. China's integration into the global trading system allowed U.S. consumers access to cheaper electronics, clothing, and other products. Businesses benefited from lower production costs and more efficient global supply chains. Wage pressures remained contained, and inflation in the U.S. and other parts of the world repeatedly surprised to the downside. This backdrop could not have been more propitious for central bankers around the world.

From the Savings Glut to the Age of Competing Capital Claims. Fed Chairman Kevin Warsh inherits a significantly different world from his predecessors. The days when 1) globalization expanded the global supply of labor, 2) multinationals seamlessly stretched and leveraged supply chains around the world, 3) geopolitical tensions were in remission, resulting in a peace dividend, and 4) global capital flowed freely across borders—those days are gone.

Growth in the global labor market has peaked, notably in China. Global supply chains are being duplicated rather than optimized. The peace dividend has gone up in smoke with Russia's invasion of Ukraine and the Great Power Rivalry between the U.S. and China. Economic efficiency increasingly takes a backseat to national security interests. The Commanding Heights has shifted from the private sector to the public sector. Deglobalization means more restrictions on cross-border flows of goods, services, people and capital. Adding it all up, Kevin Warsh's world looks a whole lot different from Ben Bernanke's (Exhibit 1).

What's more, Warsh takes the monetary helm at a time when demand for global capital has rarely been stronger. From governments running massive structural budget deficits to hyperscalers requiring more capital to build out data centers to U.S. households now holding over $1.2 trillion in credit card debt—borrowing at all levels has rarely been stronger. Everyone wants more capital.

Governments want more capital to finance deficits and interest costs and support ageing populations. Militaries want more capital to fight wars and rebuild defense capabilities after decades of underinvestment. Technology firms want more capital to build out AI infrastructure. Utilities want more capital to modernize electrical grids. Manufacturers want more capital to reshore supply chains. Private equity wants more capital to take firms public. Households want governments to maintain and expand social safety nets.

Investment Summary

The global financial landscape is in flux, with significant implications for prices across various asset classes.

Exhibit 1: A World of Difference: Ben vs. Kevin

Bernanke Era (2000-2020)	Warsh Era (2026-2035?)
Excess savings	Excess capital demand
Globalization	Deglobalization
Peace dividend	Defense build-up
Falling inflation	Stickier inflation
Falling real rates	Higher real rates
Supply-chain optimization	Supply-chain redundancy
Capital abundance	Capital competition
"Why are rates so low?"	"Who gets the capital?"

Source: Chief Investment Office. As of July 1, 2026.

Capital, capital, capital—everyone wants capital. The good news is that the world isn't running out of savings. According to the International Monetary Fund (IMF), gross global savings currently hovers around 27% of gross domestic product (GDP), a figure that has held steady over this century. So, the issue is not the supply of capital. Rather, the challenge is how to satisfy (and at what cost) the unprecedented demand for capital. The global pool of savings remains large (roughly $30 trillion based on figures from the IMF), but the claims on those savings are growing even faster.

Against this backdrop, Kevin Warsh confronts a global financial landscape that is being significantly transformed—the world is moving from an era defined by excess savings/capital toward one increasingly characterized by competing demands for capital.

Where the defining economic question of Ben Bernanke's era was, "why is capital so abundant?" the defining question of Kevin Warsh's era may be, "who gets the capital and at what cost?" The answer is crucial in that capital allocation determines economic outcomes and market returns across various asset classes and across various nations.

During the age of abundance, capital was sufficiently plentiful so that many competing priorities could be financed simultaneously. In the world of competing capital claims, however, the calculus is different. The choices will become more difficult. The trade-offs are more visible and volatile. The opportunity costs are more important.

Investment implications. The era of competing capital demands carries significant implications for the financial markets.

First, excess capital demands could keep global real interest rates structurally higher than in the previous two decades. If demand for capital consistently exceeds the growth of available supply, the price of capital should rise.

Second, in a more capital-constrained environment, efficient allocation of resources/capital at the government and corporate levels will carry a higher premium than in the past. Capital utilization will become an increasingly important factor in determining asset allocation. At the corporate level, strong balance sheets and recurring profits will command a premium.

Third, the age of competing capital demands will impose more scrutiny and discipline on sovereigns; fiscal policy becomes more consequential. Profligate governments could be penalized by investors demanding higher compensation/premiums.

Finally, with the age of abundance over and a new era of capital competition dawning, countries with the strongest institutions, the deepest capital markets, the most innovative ecosystem and most productive companies are likely to outperform their peers. All the above sounds a lot like the U.S. Indeed, in a world where capital matters even more, we expect U.S.-denominated assets to remain attractive on an absolute and relative basis over the long run.

In the end, for over two decades, investors benefited from a world awash in savings, inexpensive goods, low inflation and falling interest rates. Capital was abundant, borrowing was easy, and financial assets enjoyed a powerful tailwind. The job of central bankers was made easier. However, times are changing. The forces of the past are fading. The competition for capital is soaring, while supply holds steady. The defining question as the Warsh era begins is who gets the capital—and at what cost? The answer will shape not only the future path of interest rates and inflation, but also the fortunes of nations, companies and investors.

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The Road to 2027: Five Questions (and Answers) for the Second Half

Ariana Chiu, *Assistant Vice President and Investment Strategist*

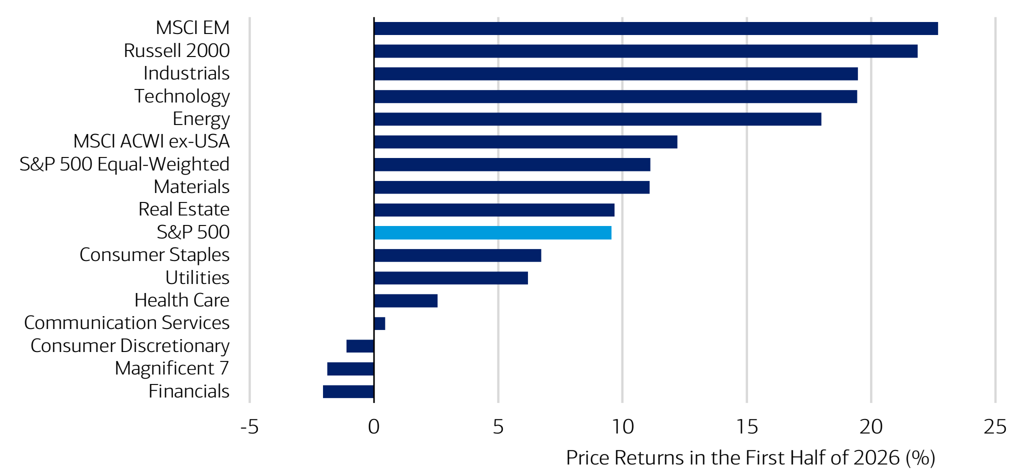
A war in the Middle East, an energy shock via the closure of the Strait of Hormuz, renewed tariff threats, concerns around Private Credit—the first half of 2026 packed a decade's worth of events into six months. The second half is set to be just as eventful with midterm elections, a new Fed chairman, and an AI revolution that evolves by the day. Below we examine five key questions that will dominate the investment landscape for the balance of the year.

Investment implications

We remain overweight Equities heading into the second half with a preference for the U.S. and Emerging Markets (EM) as well as an emphasis on diversification in portfolios across size, styles, and sectors. A correction in the coming months wouldn't be concerning in our view as both macro and market fundamentals are strong.

***Is the rotation here to stay?* Yes, in our view.** The S&P 500 gained 9.6% in the first half of the year—impressive but lagging its equal-weighted counterpart (11.1%), the Russell 2000 Index (21.9%), and the MSCI All-Country World Index (ACWI) ex-U.S. (12.2%). Yes, select Technology companies continue to dominate index-level moves (up or down) given their large size. And yet the Magnificent 7[1] ended the first six months in the red, underperforming everything from Real Estate to Consumer Staples to Healthcare (Exhibit 2). Indeed, there's been plenty of churn beneath the surface: While the S&P 500 survived the first half with a maximum drawdown of 9.1% on the index level, the average member saw a maximum drawdown of 23.0%.

Exhibit 2: Rotation Was Alive and Well in the First Half of 2026.



Source: Bloomberg. Data as of June 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

We expect rotation to continue as capital shifts to industries and companies benefiting from AI spending and productivity gains. Volatility within Technology could come from a variety of factors, whether it's earnings disappointing versus high expectations, fresh competition from China's cheaper AI models, or efficiency gains requiring less compute than originally estimated, all against a backdrop of crowded positioning. Hence our call for heightened diversification in portfolios. Meanwhile, the rebound in manufacturing should lend to ongoing support for pro-cyclical areas like Industrials, Materials and Energy. We also expect capital to continue rotating overseas in the aftermath of the war, supporting our overweight to EMs and neutral allocation to Developed Markets ex-U.S.

***Are we at peak capex?* Unlikely. We expect there's still room to run.** With the hyperscalers allocating more than $700 billion in capex this year per company projections, the question for investors continues to be whether spending estimates are headed lower from here. We don't believe that's the case as long as demand for power outstrips supply. For now, the equation still tilts in favor of further spending (and explains the historic 86% run in semiconductors in the first six months of the year). The good news, and a lesson from Q1 earnings, has been that signs of positive returns on AI investment are building.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

What remains important to watch is how the AI data center buildout is being financed. With spending commitments outpacing earnings and free cash flows, hyperscalers have turned to issuing debt, which, according to the Bank of International Settlements could reach $175 billion this year versus $105 billion in 2025. A sudden tightening in credit conditions is a tail risk to watch for the more leveraged parts of the AI buildout.

***Have we seen the worst of inflation?* We think yes, though the path of inflation expectations remains key to watch.** With the labor market proving more stable than expected in the first half, both investors and Warsh's Fed are now focused on inflation. Upward pressure on energy prices given the war, AI goods shortages, lingering tariff impacts, and stronger-than-expected economic data have led markets to price in one rate hike by the end of the year.

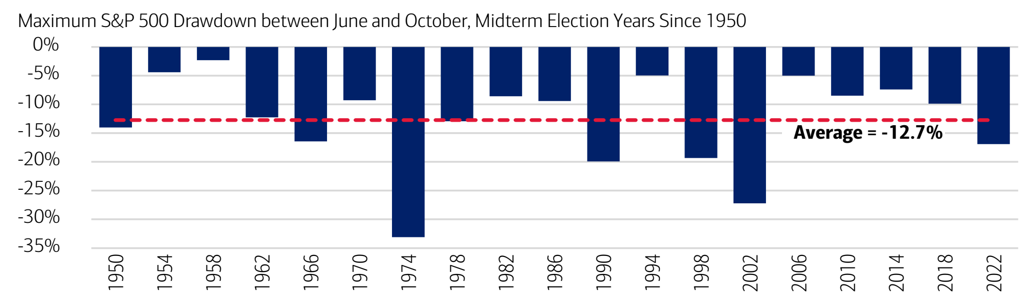
With that said, we think inflation has likely peaked as energy prices have quickly receded to pre-war levels in the past few weeks. Long-term inflation expectations have declined in tandem and are anchored near the Fed's 2% target. Shelter inflation, though still acting with a lag, has been a disinflationary force. Wage growth is healthy but nowhere near where it was back in 2021 to 2022, reducing the odds of a so-called "wage-price spiral" (i.e., when rising wages push companies to raise prices, leading workers to then demand higher wages, and so on). Re-escalating tensions in the Middle East, another prolonged spike in energy prices or signs of the labor market overheating would all be reasons to reassess our outlook but aren't our base case.

***What do shifting global central bank expectations mean for investors?* It depends.** Global monetary policy divergence was predicted to define 2026 with the Fed in cutting mode and the rest of the world excluding Japan on hold. Owing to the war, the calculus has changed, with major central banks in both Emerging Markets (Indonesia, Philippines, South Africa, Colombia, and others) and Developed Markets (Eurozone, Japan, Australia, Norway) implementing rate hikes in recent months.

For investors, global interest rate differentials could favor a weaker dollar should the Fed hold tight while central banks abroad hike rates. Alternatively, a Fed that proves much more hawkish than expected relative to the rest of the world would imply a stronger greenback. In either case, we still expect there to be structural underlying support for the dollar thanks to resilient U.S. growth. At 57% of foreign exchange reserves in Q1 2026 per the IMF, the dollar is still the world's reserve currency. Fade concerns of dollar debasement.

***How will midterm elections impact markets?* A correction preelection wouldn't be out of the ordinary.** In the near term, the lead-up to midterm elections can be more volatile before the typical relief in policy uncertainty post-election. Looking back at midterm election years since 1950, the S&P 500 has seen an average drawdown of 12.7% between the start of June and the end of October (Exhibit 3). A correction in the coming months wouldn't surprise us as the market catches its breadth and searches for new catalysts after a strong rally.

Exhibit 3: Corrections in the Months Leading up to Midterm Elections Are Normal.



Source: Bloomberg. Data as of June 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Looking beyond November 3, while it's tempting to try to time investment decisions around potential election outcomes, history tells us that obsessing over outcomes in Washington doesn't make for a good market timing tool or investment strategy. What drives markets over time isn't the party in power but rather the trajectory of growth, earnings, interest rates, liquidity and other fundamental factors. Let the 24 fresh all-time highs for the S&P 500 in the first half of this year be a friendly reminder that even in the midst of uncertainty, equity markets tend to look forward to what matters—future profits, which continue to be revised higher.

Top questions answered directly by our CIO. 60 seconds of your questions and our answers.

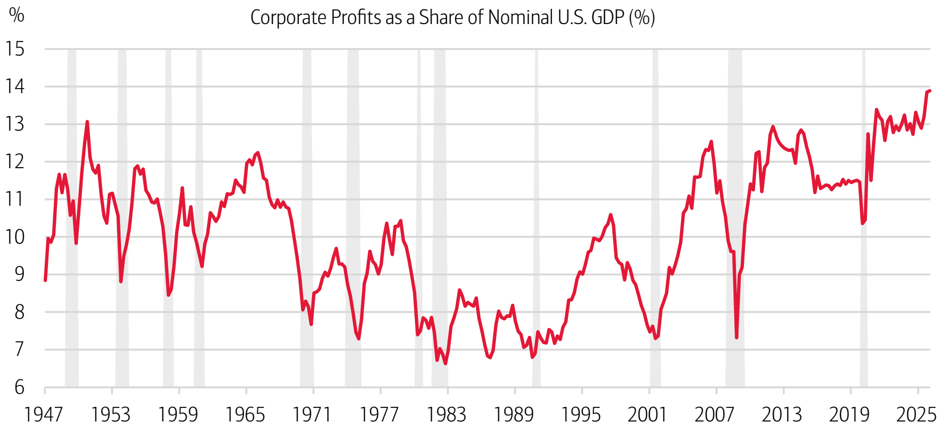
Christopher Hyzy, *Chief Investment Officer*

What is the largest concern that could unravel your bullish narrative? Our largest concern is not the Fed or its change in policy, it's not whether the U.S. dollar is going to lose its reserve currency status, it is not inflation sticking too long, it's not that we will not address government debt eventually, it is not the midterm elections or the military conflict in the Middel East. Bull markets generally do not end based on price and/or valuation. Overvaluation takes care of itself through frequent pullbacks or corrections when new concerns develop but do not materialize to an extent that causes a recession. Therefore, we do not worry about the numerator from a medium-to-long term perspective. We are concerned about the most important part of the investment equation, which is the denominator—corporate profits. Corporate profits could slow down and then go negative if interest rates rise sharply, creating a much higher cost of capital for corporate America and consumers. At the same time, if there were excessive debt (leverage) in the household or corporate sector, this would have a spiraling effect and create a deep recession. This is how a majority of bull markets end and reset materially.

Pockets of enthusiasm and price momentum that go too far in the short term without a deterioration in the profit outlook is not how bull markets end.

And since we do not expect a sharp rise in interest rates, and balance sheets have been healthy at the consumer and corporate level, we are buyers on weakness in the equity markets if headline concerns cause downside pressure. Finally, a modest increase in rates by the Fed—if it happens—is a sign that growth is running above trend and is actually a sign of strength, in our view, not a cause for concern.

Exhibit 4: Earnings, Not Multiple Expansion Has Underpinned the S&P 500 Rally this Year.



Gray bars indicate recessions. Sources: Bureau of Economic Analysis; Haver Analytics. Data as of June 25, 2026.

Portfolio Considerations

Despite expected volatility with sharp corrections and rebounds, we remain constructive on Equities—overweighting U.S. and EMs, balancing Value and Growth, and favoring Industrials, Financials, and Consumer Discretionary sectors—supported by rising capital investment, growing profits, above-trend global growth, and strong demand for financial assets.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	52,900.07	2.0	1.1	11.0
NASDAQ	25,832.67	2.1	-1.5	11.5
S&P 500	7,483.24	1.8	-0.2	10.0
S&P 400 Mid Cap	3,802.81	-0.3	-1.3	15.8
Russell 2000	2,996.11	-0.4	-0.9	21.4
MSCI World	4,832.10	1.9	0.1	9.8
MSCI EAFE	3,144.43	2.0	0.9	10.4
MSCI Emerging Markets	1,684.18	-1.2	-2.2	21.2

Fixed Income†

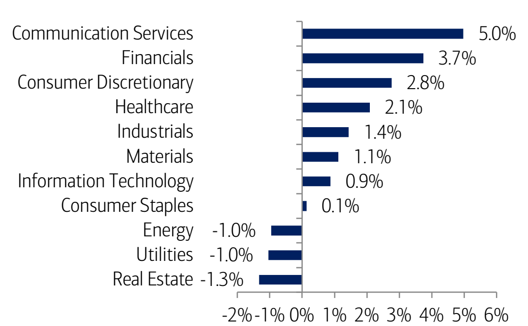
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.67	-0.50	-0.16	0.34
Agencies	4.44	-0.22	-0.03	0.58
Municipals	3.60	0.08	-0.09	2.23
U.S. Investment-Grade Credit	4.75	-0.50	-0.14	0.48
International	5.22	-0.49	-0.16	0.69
High Yield	7.13	0.29	0.09	2.05
90 Day Yield	3.75	3.74	3.81	3.63
2 Year Yield	4.14	4.09	4.17	3.47
10 Year Yield	4.48	4.37	4.47	4.17
30 Year Yield	4.99	4.86	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	315.71	0.1	-0.1	14.3
WTI Crude $/Barrel††	68.69	-0.8	-1.2	19.6
Gold Spot $/Ounce††	4122.35	0.8	2.9	-4.6

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	161.11	161.74	162.55	156.71
USD/CNH	6.79	6.80	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/29/2026 to 07/02/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5	2.5	2.4	2.2	2.2
CPI inflation (% y/y*)	2.7	4.0	3.7	3.6	3.2	2.1
Core CPI inflation (% y/y*)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E = Estimate. Data as of July 2, 2026.
* = Data as of June 12, 2026.
Sources: BofA Global Research; GWIM ISC as of July 2, 2026.

Asset Class Weightings (as of 6/2/2026)

Asset Class	CIO View: Underweight		Neutral		Overweight
Global Equities	·	·	·	●	·
U.S. Large-cap Growth	·	·	·	●	·
U.S. Large-cap Value	·	·	·	●	·
U.S. Small-cap Growth	·	·	·	●	·
U.S. Small-cap Value	·	·	·	●	·
International Developed	·	●	·	·	·
Emerging Markets	·	·	·	●	·
Global Fixed Income	·	●	·	·	·
U.S. Governments	·	●	·	·	·
U.S. Mortgages	·	●	·	·	·
U.S. Corporates	·	●	·	·	·
International Fixed Income	·	●	·	·	·
High Yield	·	●	·	·	·
U.S. Investment-grade Tax Exempt	·	●	·	·	·
U.S. High Yield Tax Exempt	·	●	·	·	·
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View: Underweight		Neutral		Overweight
Industrials	·	·	·	●	·
Consumer Discretionary	·	·	·	●	·
Financials	·	·	·	●	·
Information Technology	·	·	●	·	·
Energy	·	·	●	·	·
Materials	·	·	●	·	·
Utilities	·	·	●	·	·
Healthcare	·	·	●	·	·
Communication Services	·	●	·	·	·
Real Estate	·	●	·	·	·
Consumer Staples	·	●	·	·	·

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is a variation of the traditional S&P 500 that tracks the same 500 companies, but assigns each stock the exact same weight.

Russell 2000 Index is a benchmark stock market index that tracks the performance of approximately 2,000 small-cap U.S. companies.

MSCI All-Country World ex-U.S. Index captures large and mid cap representation across Developed Markets (DM) countries (excluding the US) and Emerging Markets (EM) countries.

MSCI Emerging Markets Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Index, including Information Technology USD; Consumer Discretionary; Industrials; Real Estate; Communication Services; Materials; Financials; Consumer Staples; Utilities; Energy; Healthcare.

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